

the ways of Wall Street.

Regarding these extreme holding periods, a reader wrote to me the following:

So my thoughts are that this coffee can is a nice way to leave a legacy for my children and grandchildren. I am 66 years old and 35-year investments (I know that you consider coffee can 10 years but it seems to be that the longer you can go the better it gets) are probably not a good idea now. I was intrigued by the fund that invested in a basket of stocks in 1935 and never touched it again. I am not sure how one would do this now but it is an approach that saves us from ourselves.

The question: How would you go about identifying companies for a 35-year coffee can? When I looked at your list of the best performers almost all of them were over 25 year or greater returns. If I had tried to pick long-term investments in 1970 my guess is that I would have invested in stocks like Sears, GE, US Steel, Westinghouse, Exxon and such members of the DOW. Some would have been ok, such as GE and Exxon but there would have been no investments in Wal-Mart, Apple, Microsoft, etc. and some would have been bad. Would we be better off buying shares of wise investors such as Buffett and sitting on those? The downside is that none of the current wise guys will be around in 35 years either.

The questions raised are difficult to answer, especially now, because things change so quickly. For example, take a look at the average lifespan of a firm in the S&P 500 index. It is now less than 20 years. See the chart on the next page.

The average lifespan was 61 years in 1958. So things have changed a great deal. At the current rate, Innosight estimates, 75 percent of the current S&P will be replaced by 2027. Leaving the S&P 500 doesn't mean the death of the firm. But unless there is a buyout, S&P usually kicks you out only when you are in trouble — for example, Circuit City, the New York Times, Kodak or Bear Stearns. Or they kick you out when you get too small — which is another way of saying you underperformed. (Although dropped stocks tend to outperform in the